

Company Overview

NHPC, a Mini Ratna category I public sector utility, is Government of India's flagship hydroelectric generation company. The company is primarily involved in the generation and sale of bulk power to various Power Utilities. Its other business includes providing project management / construction contracts/ consultancy assignment services and trading of power.

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	41.8%	10.4%	0.84	11.2	0.10	970.0
2023	40.2%	11.5%	0.80	14.6	0.12	514.0
2022	41.3%	10.8%	0.75	8.5	0.12	1506.0
2021	37.3%	10.9%	0.71	11.0	0.13	3463.0
2020	33.4%	10.7%	0.74	6.6	0.14	6.0
2019	31.6%	9.2%	0.62	7.5	0.13	2642.0
2018	35.9%	9.3%	0.62	5.9	0.12	3810.0
2017	40.4%	12.0%	0.66	6.3	0.14	6465.0
2016	28.3%	7.5%	0.63	5.1	0.13	5225.0
2015	34.0%	9.1%	0.67	5.2	0.13	3293.0

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Qualitative Investment Insights

Strengths (Pros):

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing

Risks & Concerns (Cons):

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum